

CABLE

ONE OF CANADA'S LARGEST PROVIDERS OF CABLE TELEVISION, HIGH-SPEED INTERNET AND PHONE SERVICES

- 2.1 million television subscribers – approximately 31.4% of Canadian cable television subscribers
- 2.0 million high-speed Internet subscribers
- 1.2 million telephony subscribers
- a network that passes approximately 4 million homes in Ontario, New Brunswick and Newfoundland.

PRODUCTS AND SERVICES

Our advanced digital two-way hybrid fibre-coaxial network provides a leading and innovative selection of digital television and online viewing, high-speed broadband Internet access, and cable telephony services:

- programming includes high-definition television (HDTV)
- on-demand, including movies, television series and events
- personal video recorders (PVRs) and Whole Home PVR
- time-shifted programming
- digital specialty, multicultural and sports programming
- Rogers Anyplace TV and Anyplace TV Home Edition for viewing on smartphones, tablets and personal computers.

Cable Television generates service revenue from three areas:

- digital cable – includes digital channel service fees, including premium and specialty service subscription fees, pay per view service fees and video on demand service fees
- analog cable – includes basic cable service fees plus extended basic (or tier) service fees and access fees for use of channel capacity by third parties
- rental of digital cable set-top terminals.

Internet revenue includes monthly subscription and additional use service revenues from residential, small business and wholesale Internet access subscribers and modem rental fees.

Cable Telephony revenue includes revenues from residential and small business local telephony service, calling features such as voicemail and call waiting, and long-distance.

DISTRIBUTION

We distribute our cable products using various channels including:

- company-owned Rogers retail stores
- customer self-serve rogers.com, ecommerce sites
- Rogers call centres, outbound telemarketing, door-to-door agents
- major retail chains
- an extensive network of third party retail locations.

EXTENSIVE NETWORK

Rogers has an expansive fibre and hybrid fibre coaxial network infrastructure that provides consumers, businesses and governments in Ontario, New Brunswick and Newfoundland with a range of communications services, including video, broadband Internet, voice and data networking.

The network is structured to optimize performance and reliability and to allow for the simultaneous delivery of video, voice and Internet over a single platform. It is generally constructed in rings that interconnect with distribution hubs, minimizing disruptions that can result from fibre cuts and other events.

2013 CABLE SERVICE REVENUE MIX (%)



The network is sub-divided into smaller clusters of homes interconnected at a central node. The node is reached by fibre optic cable and in turn from the node to the home, video, voice and broadband services are delivered using 860 MHz of spectrum over coaxial cable.

We continually upgrade the network to improve capacity, enhance performance and introduce new features and functionality. For example, we invest in:

- further segmenting our network nodes to reduce the number of homes in each node
- improving video signal compression by moving to more advanced video protocols
- improving channel and on-demand capacity by introducing new technology like switched digital video
- increasing Internet speed with data over cable service interface specifications (DOCSIS 3.0), which now offers speeds of up to 250 Mbps, setting the foundation for even higher speeds
- increasing the fibre to the home (FTTH) footprint by connecting to more homes directly to fibre.

In 2012, we began transitioning customers still receiving television signals over our analog broadcast channels to all-digital services, freeing up significant cable network capacity for additional features and services. The analog to digital subscriber migration will continue to strengthen the customer experience and, once complete (expected in 2015), will allow us to reclaim significant amounts of network capacity and reduce network operating and maintenance costs. The migration from analog to digital requires additional spending because it involves fitting analog homes with digital converters and removing existing analog filtering equipment.

Broadband Internet service is provided using the DOCSIS 3.0 standard which combines multiple RF channels onto one access into the customer premise, delivering exceptional performance. The bandwidth of our internet service offerings has increased 50 fold in the last 10 years as we bring new technology to market when it becomes available. This track record of investing in our networks and demonstrating the capability to deploy best in class service is one of our key strategies to ensure we stay competitive with other service providers that provide internet service into homes and business over copper facilities.